



Oxford Cambridge and RSA

Predicted Paper — Moderate

GCSE (9–1) Economics

J205/02 National and International Economics

Time allowed: 1 hour 30 minutes

You can use:

- a scientific or graphical calculator
- an HB pencil

Please write clearly in black ink. **Do not write in the barcodes.**

Centre number Candidate number

First name(s) _____

Last name _____

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided. If you need extra space use the lined pages at the end of this booklet. The question numbers must be clearly shown.
- Answer all the questions.

INFORMATION

- The total mark for this paper is 80.
- The marks for each question are shown in brackets [].
- Quality of extended response will be assessed in questions marked with an asterisk (*).
- This document has 24 pages.

ADVICE

- Read each question carefully before you start your answer.

SECTION A

Write your answer to each question in the box provided.

1 Which of the following is the best definition of economic growth?

- A** A fall in the level of unemployment in a country
- B** A rise in the level of real GDP in a country
- C** An increase in the general price level in a country
- D** An increase in the value of a country's currency

Your answer **[1]**

2 The UK inflation rate is measured using CPI. Which statement about CPI is correct?

- A** CPI includes the prices of UK exports of goods and services
- B** CPI measures the average change in prices of a basket of consumer goods and services
- C** CPI only measures the prices of food and energy
- D** CPI stands for Customer Price Indicator

Your answer **[1]**

3 Which of the following is most likely to be an example of a positive externality from education?

- A** A student paying fees to attend a university course
- B** A student receiving a qualification at the end of a course
- C** A well-educated workforce raising the productivity of the wider economy
- D** A university advertising its courses to potential students

Your answer **[1]**

4 If a country removes a tariff on imported goods, the most likely short-term effect is

- A** a decrease in consumer choice
- B** a fall in the price of imported goods to consumers
- C** an increase in domestic producers' profits in that industry
- D** an increase in the country's tariff revenue

Your answer **[1]**

5 The table shows the rate of inflation in four countries in 2023 and 2024.

Country	2023 (%)	2024 (%)
J	6.2	2.1
K	1.8	-0.4
L	4.0	4.0
M	9.1	2.0

In which country did the general price level fall between 2023 and 2024?

- A** Country J
- B** Country K
- C** Country L
- D** Country M

Your answer **[1]**

- 6 A current account deficit is most likely to occur when
- A a country's exports of goods and services are greater than its imports
 - B a country's imports of goods and services are greater than its exports
 - C a country's government spends less than it receives in taxes
 - D a country's population saves more than it invests

Your answer [1]

- 7 Which of the following is the most likely cause of demand-pull inflation in the UK?
- A A fall in productivity in UK manufacturing firms
 - B A rise in consumer confidence leading to more consumer spending
 - C A rise in the global price of crude oil
 - D A rise in wage costs in UK services

Your answer [1]

- 8 The diagram below shows the quarterly level of UK GDP from 2019 Q1 to 2021 Q4.

Quarter	Real GDP (index, 2019 Q1 = 100)
2019 Q1	100
2019 Q4	100.7
2020 Q2	78.3
2020 Q4	91.5
2021 Q4	99.2

The data show that real GDP in the UK

- A had fully recovered to its 2019 Q1 level by the end of 2021
- B fell sharply in 2020 Q2 before partially recovering
- C grew steadily throughout the period shown
- D was at its lowest level in 2019 Q4

Your answer [1]

- 9 The UK government funds the National Health Service (NHS) from taxation. The opportunity cost of a £1 million increase in NHS spending is
- A the £1 million of tax revenue raised from households and firms
 - B the alternative goods and services that £1 million could have been spent on
 - C the number of additional patients the NHS can treat with £1 million
 - D the wages paid to NHS staff employed with the £1 million

Your answer [1]

- 10 The Human Development Index (HDI) measures development using three indicators. Which of the following is not one of the three indicators?
- A GDP per capita (gross national income per person)
 - B Life expectancy at birth
 - C Mean and expected years of schooling
 - D The rate of unemployment

Your answer [1]

11 Which of the following is most likely to cause long-run economic growth in the UK?

- A** A fall in the value of sterling against the US dollar
- B** A rise in consumer confidence in the short run
- C** Increased investment in infrastructure and skills training
- D** Increased government borrowing to fund current spending

Your answer **[1]**

12 Which of the following would be recorded on the UK's current account of the balance of payments?

- A** A French firm buying shares in a UK-listed company
- B** A UK consumer buying a car made in Germany
- C** A UK pension fund buying government bonds issued by Japan
- D** A US firm building a new factory in the UK

Your answer **[1]**

13 A UK tourist plans a holiday to the USA costing \$2,100. When the tourist books the holiday the exchange rate is £1 = \$1.25, but by the time they pay for the holiday the exchange rate has become £1 = \$1.50. Compared with the price the tourist expected to pay when booking, the final price in pounds will be

- A** £280 lower
- B** £280 higher
- C** £420 lower
- D** £420 higher

Your answer **[1]**

14 Globalisation is best described as

- A** a government policy to protect domestic producers from foreign competition
- B** the growing interdependence of countries through trade, investment and the movement of labour
- C** the process of a country moving to a floating exchange rate
- D** the process of removing all taxes on consumer spending

Your answer **[1]**

15 The UK government imposes an indirect tax on cigarettes to correct a negative externality. This policy works through

- A** the demand curve shifting to the right as consumer spending falls
- B** the demand curve shifting to the left as taxes raise the price of substitutes
- C** the supply curve shifting to the left leading to higher prices and lower quantity
- D** the supply curve shifting to the right as output expands

Your answer **[1]**

16 The UK government runs a public information campaign about the benefits of exercise. A reason this policy may fail to achieve its aim is that

- A** consumers may ignore or distrust the information provided
- B** public information campaigns are always free to run
- C** the supply of exercise services is perfectly inelastic

D there is no positive externality from exercise

Your answer [1]

17 Which of the following is a benefit of international trade for UK consumers?

- A** An improvement in the UK's current account surplus
- B** An increase in the corporation tax revenue collected by HMRC
- C** Greater variety and lower prices of goods and services available
- D** Increased economies of scale for UK producers

Your answer [1]

18 The table shows the value of £1 in US dollars (\$) at four different dates.

Date	£1 = \$
January 2019	1.30
January 2020	1.31
September 2022	1.07
January 2024	1.27

Which statement best describes the change in sterling between January 2020 and September 2022?

- A** The pound appreciated sharply against the dollar
- B** The pound depreciated sharply against the dollar
- C** The dollar depreciated sharply against the pound
- D** The exchange rate was roughly unchanged

Your answer [1]

19 A trade union negotiates a 7% pay rise for its members, while their productivity rises by 2%. The most likely consequence is

- A** a fall in cost-push inflation
- B** a fall in imports
- C** a rise in cost-push inflation
- D** a rise in consumer confidence

Your answer [1]

20 A local council invests in a new public park in a deprived area. Which of the following is the clearest example of an environmental sustainability benefit?

- A** A fall in the council's tax revenue from the area
- B** An increase in the number of children attending local schools
- C** Improved local biodiversity and lower urban air pollution
- D** Lower house prices near the new park

Your answer [1]

SECTION B**21****Extract 1****UK inflation and the response of the Bank of England**

Between October 2021 and October 2022 UK CPI inflation rose from 4.2% to 11.1%, the highest rate for over 40 years. The main drivers were sharp rises in global energy prices and disruption to supply chains for food and manufactured goods. Households on low incomes were affected most severely because essentials make up a larger share of their spending.

The Bank of England has a 2% inflation target and responded by raising Bank Rate in a series of steps from 0.1% in December 2021 to 5.25% by August 2023. Higher interest rates raise the cost of borrowing for households and firms, which tends to reduce consumer spending and business investment. By late 2024, inflation had fallen back close to the 2% target, though real wages had been weak over the preceding three years.

UK CPI inflation and Bank Rate, 2021–2024

Year	CPI inflation (annual average, %)	Bank Rate at end of year (%)
2021	2.6	0.25
2022	9.1	3.50
2023	7.3	5.25
2024	2.5	4.75

(a) Using Extract 1, explain the trend in the UK CPI inflation rate between 2021 and 2023.[2]

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(b) Using Extract 1, calculate the change in Bank Rate between the end of 2021 and the end of 2023. Show your working. **[2]**

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(c) Using the information in Extract 1, analyse how rising interest rates between 2021 and 2023 might have affected UK consumer spending. **[6]**

[illegible]

(d) (i) Explain what is meant by the term 'real wages'. **[2]**

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(d) (ii) Other than inflation, state two economic objectives of the UK government. **[2]**

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(d) (iii)* Evaluate the consequences for low-income households of a period of high inflation. Use the information given in Extract 1 and your own knowledge. **[6]**

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Extract 2**UK unemployment and regional labour markets**

The UK unemployment rate has fallen steadily since the peak of the global financial crisis in 2011. However, the headline rate hides large regional differences. The North East of England and parts of Wales have persistently higher unemployment rates, higher inactivity rates, and more long-term structural unemployment than London and the South East.

Workers are often reluctant to move between regions for family or housing reasons. A lack of investment in manufacturing and in infrastructure in less prosperous regions has reduced job opportunities. The UK government has tried to respond through skills training, apprenticeships, and regional investment funds such as the Levelling Up Fund, but outcomes remain uneven.

UK regional labour market indicators (illustrative, 2024)

Region	Unemployment rate (%)	Inactivity rate (%)	Employment rate (%)
United Kingdom	4.3	21.5	74.7
London	5.0	21.0	74.8
South East	3.2	18.9	78.5
North East	5.8	25.6	70.3
Wales	4.2	25.1	71.8

- (a)** Using Extract 2, explain how the UK unemployment rate compares with the unemployment rate in the North East of England in 2024. **[2]**

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- (b)** Using Extract 2, calculate the difference between the employment rate in the South East and the employment rate in the North East in 2024. Show your working. **[2]**

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- (c)** Using the information in Extract 2, analyse how a fall in the UK unemployment rate might affect the UK government's budget. **[6]**

[illegible]

- (d) (i)** Explain what is meant by 'structural unemployment'. **[2]**

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- (d) (ii)** State two types of unemployment other than structural unemployment. **[2]**

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- (d) (iii)*** Evaluate the consequences of persistently high unemployment for workers in a region such as the North East of England. Use the information given in Extract 2 and your own knowledge. **[6]**

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Extract 3**UK international trade and the value of the pound**

The UK is a highly open economy and runs a persistent current-account deficit on trade in goods, partly offset by a surplus on trade in services — particularly financial services, business services and higher education. The value of sterling is determined primarily by the market forces of demand and supply in the foreign-exchange market.

A depreciation of sterling makes UK exports cheaper in foreign markets and imports more expensive in the UK. This can improve the current-account balance in the long run, although in the short run the response of import and export volumes is often small, which is known as the J-curve effect. Changes in the exchange rate also affect inflation through the price of imported goods and raw materials.

UK trade and the pound, 2021–2024

Year	Current account balance (% of GDP)	£1 = € (average)	£1 = \$ (average)
2021	–1.5	1.16	1.38
2022	–3.1	1.17	1.24
2023	–2.2	1.15	1.24
2024	–2.0	1.17	1.27

- (a)** Using Extract 3, explain the change in the UK's current account balance between 2021 and 2024. [2]

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- (b)** A UK firm plans to import machinery from Germany costing €420,000. Using the 2024 exchange rate in Extract 3, calculate the cost of the machinery in pounds sterling. Show your working. **[2]**

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- (c)** Using the information in Extract 3, analyse how a depreciation of sterling against the euro might affect UK firms that export to the EU. [6]

[illegible]

- (d) (i)** Explain what is meant by the 'balance of payments on current account'. **[2]**

- (d) (ii)** Other than the balance of payments on current account, state two benefits to a country of international trade. **[2]**

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

EXTRA ANSWER SPACE

If you need extra space use this lined page. You must write the question numbers clearly in the margin.

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